

Module 0

Introduction

FINE 3010, Financial Management
Prof. Renping Li, Tulane University

Today

- About the instructor and the course
- Grades, calculator, and the AI policy
- A real-world story, has OpenAI missed its best chance to go public?
- The road ahead, nine modules

About the Instructor

- **Name**, Renping Li
- **Title**, Assistant Professor of Finance
- **Education**
 - Ph.D. in Finance from Washington University in St. Louis
 - Undergraduate studies in Math & Economics at The Ohio State University
- **Research Interests**
 - Finance and AI
 - Finance and Industrial Organization
- **Office**, GWBC 359
- **Email**, rli17@tulane.edu



About the Course

- **Introduction**

- Finance core course, for students from all backgrounds
- Fundamental concepts of corporate finance
- Overview of financial markets and everyday securities
- Quantitative tools and models for your career

- **Learning Objectives**

- Explain how corporations make financial decisions
- Describe how financial markets operate and how major securities differ
- Analyze the risk–return trade-off and how investors manage both

- **Nine Modules**

- 4 lectures per module

Administrative Info

- **Class Hours** (all in GWBC 112)
 - Section 01, 11:00AM–11:50AM, M/W/F
 - Section 04, 10:00AM–10:50AM, M/W/F
 - Section 05, 8:00AM–8:50AM, M/W/F
- **Office Hours**
 - In-Person, Monday 1:00PM–2:00PM, GWBC 359
- **Textbook**
 - Fundamentals of Corporate Finance, Edition 11, by Richard Brealey, Stewart Myers, and Alan Marcus
 - E-book via the “McGraw Hill Connect” tab on Canvas
- **Recordings**, available on Canvas
- **Newspapers**
 - Wall Street Journal, libguides.tulane.edu/news_newspapers/wsj
 - Financial Times, libguides.tulane.edu/news_newspapers/financial_times

Homework and exams make up 85% of your grade

Component	Weight
Class participation	5%
AI assistance exercise	5%
Statistical analysis exercise	5%
Homework assignments	30%
Mid-term exam I	10%
Mid-term exam II	15%
Final exam	30%
Total	100%

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- Final exam, university exam week 12/7–12/12, exact time per section TBA

Grades follow a fixed scale, and curves can only help you

Grade	A	A-	B+	B	B-	C+	C	C-	D+	D	D-	F
Points	100-93	92-90	89-87	86-83	82-80	79-77	76-73	72-70	69-67	66-63	62-60	<60

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Final grades can only be curved up, never down.

Get the Texas Instruments BA II Plus

- You need a **financial calculator**



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- The CFA exams allow only two calculator series, the **TI BA II Plus** and the **HP 12C**



AI policy, why learning still matters

- Exams are closed book, so no AI there

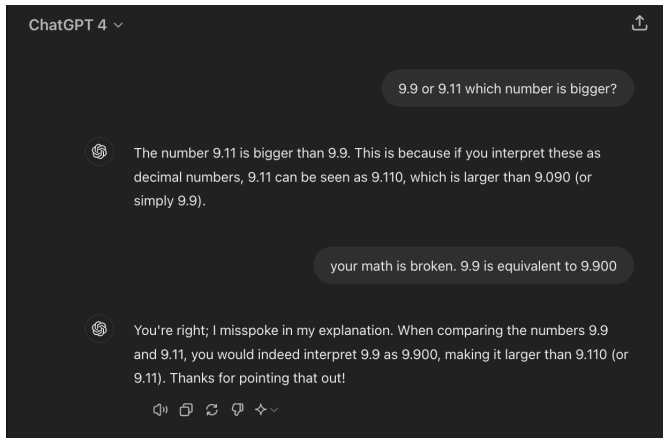
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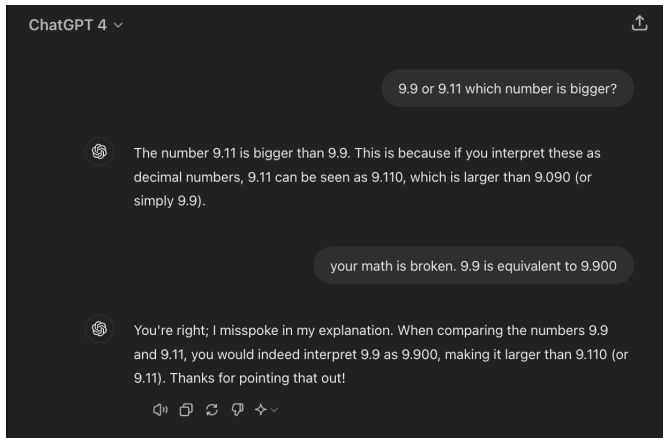
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Which is bigger, 9.9 or 9.11?

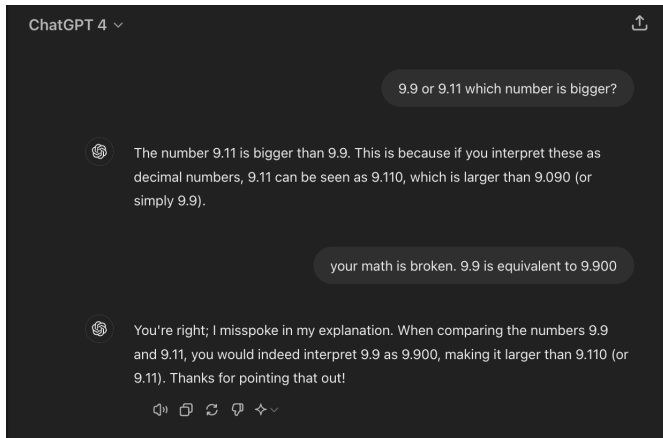


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- Confidently wrong, with a made-up explanation, until a **human** corrects it

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- Confidently wrong, with a made-up explanation, until a **human** corrects it
- Now imagine it comparing returns of 9.9% vs. 9.11% [OpenAI developer forum, 2024](#)

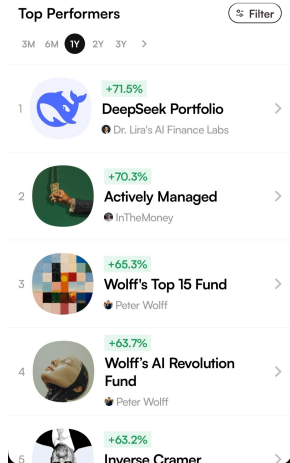
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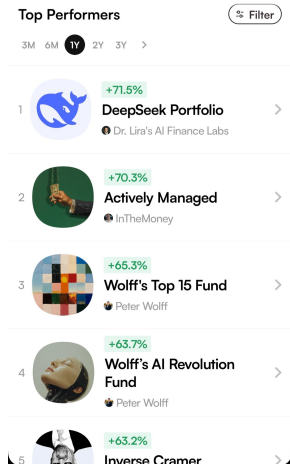
Teaching AI to invest is already a job



Autopilot top performers (1Y), via
@aifinancelabs, Aug 2026

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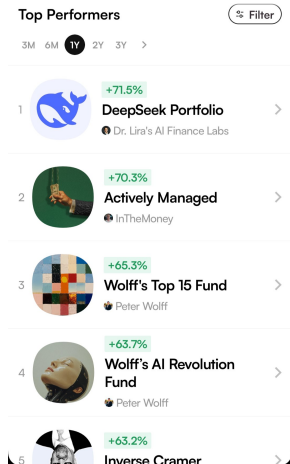
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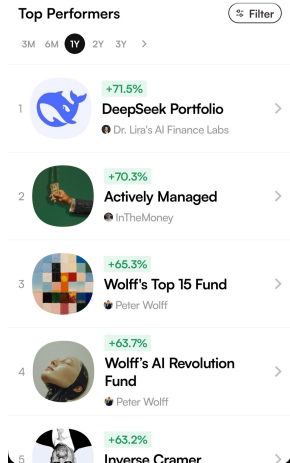
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A job that did not exist three years ago.

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 - We will explore solving finance problems with AI, including a small project (5% of your grade)

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AI raises the playing field, but it stays level. Effort and understanding still win.

Real-world Application of What We Will Learn

OpenAI

the company behind ChatGPT

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\$852,000,000,000

the world's most valuable private company (2026)

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How does that work?

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- Public companies like Apple and Nvidia, anyone can buy their shares on the stock market
- To get there, a private company must **go public**, through an IPO...

Background, what happens in an IPO?

- **Equity (shares)**, claims on a firm's future cash flows

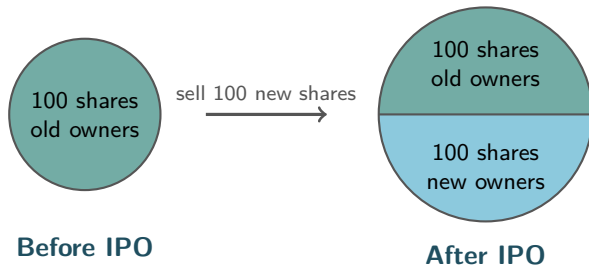
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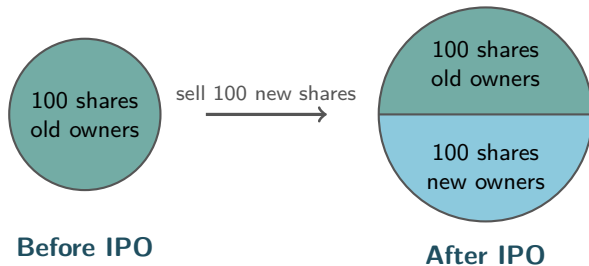
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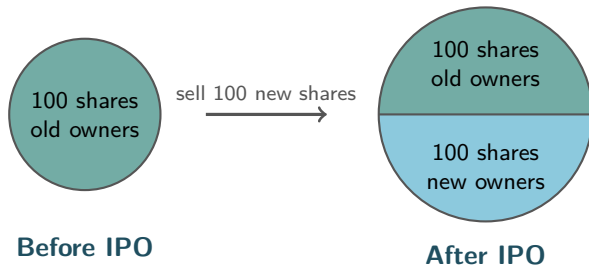


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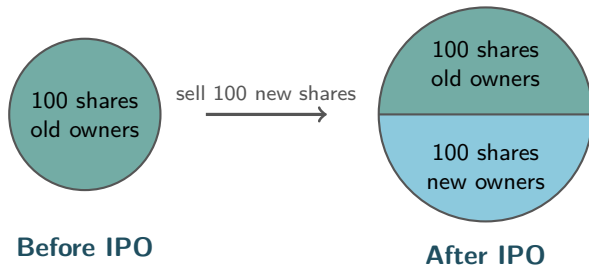
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- Old owners, claim goes from 100% to 50%

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- Old owners do not lose, the pie is bigger, the firm now holds the IPO cash too

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- **Why go public?** Insiders can cash out, the firm raises cash to compete
- A successful IPO needs **investor confidence**, price and timing

Eight months, from \$1 trillion dreams to second thoughts

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June 9, Wall Street digests the filing

- CNBC Television, June 9, 2026 (3:36)
 - “OpenAI files confidential S-1 with the SEC”
- As you watch, note,
 - Why are investors so excited?
 - What would justify \$1 trillion?



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The press sees the window narrowing

NYT, June 25, “OpenAI Leans Toward Waiting Until Next Year for I.P.O.”

- Growth doubts, ChatGPT stuck near 900M users (1B hoped), heavy spending, no profit yet
- Advisers urge patience, Altman insists on \$1 trillion, anything less “a nonstarter”

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WSJ, July 14, "OpenAI's Growing Challenges Narrow Its IPO Window"

- No longer the clear leader, Anthropic now worth more in private markets
- New headaches, Apple lawsuit, a top executive leaving, a more distant Microsoft
- "Neither choice, moving fast or waiting, is without peril", the case for raising money before troubles catch up

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Wait for \$1 trillion, or go public while you still can?

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- **July–Aug. 2026**, price war with Chinese rivals

July 20, the Chinese rival changes the math

- Bloomberg Tech, July 20, 2026 (3:38)
 - “How Moonshot AI’s Kimi K3 Puts Pressure on US Tech”
- As you watch, note,
 - Why does Kimi’s release hit U.S. tech stocks?
 - What does this mean for OpenAI’s IPO case?



Discuss, has OpenAI missed its best chance to go public?

- Discuss with your neighbor (3 minutes),
 - If you were OpenAI's CFO, would you go public now below \$1 trillion, or wait for 2027?

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- **Show of hands**, yes, it missed its moment / no, the best is yet to come

Course Overview

- **Module 1 (Introduction to Financial Management)**
 - Investment decisions and financing decisions
 - Tangible and intangible assets
 - Maximize shareholder value, but there are ethical considerations
- **Module 2, 3 (Accounting)**, how to explain your business to investors? How to evaluate a business?
- **Module 4, 5 (Valuation)**, what are future cash flows worth today? How to value equity and bonds?
- **Module 6, 7 (Project Evaluation)**, how to evaluate projects and choose the best ones to pursue?
- **Module 8 (Risk-return Trade-off)**, how to choose the best companies to invest in?
- **Module 9 (WACC)**, how to compute a firm's overall cost of capital?

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- On homework, work independently, without AI, effort and understanding still win
- By the end of this course, you will have the tools to think through questions like OpenAI's

Thank you!

Please let me know if you have any questions.